

4.

Make Your Assets Work for You and Save on Taxes

So you make \$70,000 a year but think twice before planning a lavish night on the town? You and your spouse pull in a combined \$130,000 a year and your last vacation blew your savings? You have \$400,000 of net worth but the last time your property taxes went up you felt the pinch?

Chances are you have “mortgagitis”—inflammation of the mortgage. You’re not alone. What Americans go through to own big homes makes a junkie needing a fix look circumspect by comparison.

To retire at age 35 you need to unload that great financial burden you call home. Upscale Americans spend 33 percent of their spendable income on housing. That 33 percent is more than any other item in the budget. Get housing costs under control and you’ve freed up a bundle. For many, retiring is as simple as turning housing *costs* into cash *income*.

Convert home equity to cash

Sounds crazy, right? Of all the rules in this book, this one most goes against the grain. Your home gives tax shelter. It hedges against inflation and goes up in value. What you’ve